

Warsaw, February 29, 2024

Decision

DOKE.561.17.2023

Pursuant to Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, as amended) in connection with Article 7(1) and (2) and Article 60 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) and based on Article 57(1)(a) and (h) and Article 58(2)(b) in connection with Article 58(1)(a) and (e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of May 4, 2016, p. 1, with amendments published in OJ EU L 127 of May 23, 2018, p. 2, and in OJ EU L 74 of March 4, 2021, p. 35), after conducting administrative proceedings regarding the imposition of an administrative monetary penalty on K. Sp. z o.o. based in W. at ul. (...), the President of the Personal Data Protection Office issues a reprimand to K. Sp. z o.o. based in W. at ul. (...) for violating Article 58(1)(a) and (e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (OJ EU L 119 of May 4, 2016, p. 1, with amendments published in OJ EU L 127 of May 23, 2018, p. 2, and in OJ EU L 74 of March 4, 2021, p. 35), consisting of failing to provide the President of the Personal Data Protection Office with access to personal data and information necessary to perform his duties in the proceedings with reference number DKN.5130.11055.2021.

JUSTIFICATION

Factual Background

On October 22, 2021, a preliminary notification of a personal data breach was submitted to the Personal Data Protection Office by K. Sp. z o.o. based in W. at ul. (...) (hereinafter referred to as the "Company"), and subsequently, on December 27, 2021, a supplementary notification was submitted. Considering the need to obtain additional information regarding this notification, the President of the Personal Data Protection Office (hereinafter also referred to as the "President of UODO") initiated explanatory proceedings under reference number DKN.5130.11055.2021, within which, by letter dated April 22, 2022, he summoned the Company to supplement the explanations in the following areas:

- Whether and how, during the actions taken, the administrator determined whether there was a loss of confidentiality of the data, in connection with the explanations provided in point 4C(a) of the breach notification, which states that "the breach of data confidentiality cannot be ruled out."
- Whether the administrator conducted a risk analysis for the personal data processing process subject to the breach, both before and after the occurrence of the breach (please present them).
- Whether the administrator recovered all the contents of the encrypted resources? If not, please specify the extent of the irreversible loss of personal data and what category of data it was;
- Whether an explanatory procedure was conducted to determine the circumstances of the breach or the vulnerability exploited to carry out the attack?

This letter contained a warning that failure to respond to the President of UODO's request may result in the imposition of sanctions against the Company as specified in Article 83(5)(e) of Regulation 2016/679. The aforementioned request was received on April 28, 2022, by the President of the Company's Board – Ms. K.N, who is the person authorized to represent the Company, according to the information disclosed in the National Court Register. This request went unanswered by the Company.

Due to the lack of response from the Company to the above request, the President of UODO – by letter dated July 12, 2023 – again summoned the Company to provide the explanations necessary for assessing the reported breach. This letter, addressed to the registered office address of the Company disclosed in the KRS, was received by Ms. S. N., who was marked on the return receipt as an adult household member. The Company also did not respond to this letter.

Proceedings

Due to the Company's failure to provide the information necessary to resolve the case with reference number DKN.5130.11055.2021, the President of UODO initiated ex officio – based on Article 83(5)(e) of Regulation 2016/679 – these administrative proceedings under reference number DOKE.561.17.2023 regarding the imposition of an administrative monetary penalty on the Company, in connection with the violation of Article 58(1)(a) and (e) of Regulation 2016/679. The Company was informed about the initiation of the proceedings by letter dated September 27, 2023, delivered to the Company on October 16, 2023. By this letter, the Company was obliged – in order to establish the basis for the penalty calculation, based on Article...

101a § 1 of the Act of May 10, 2018 on the Protection of Personal Data (Journal of Laws of 2019, item 1781, hereinafter referred to as "u.o.d.o.") – to provide information on the amount of turnover and financial results achieved by the Company in 2022. The Company was also informed that if it submits comprehensive explanations, which the President of the UODO requested from the Company in the proceedings under reference DKN.5130.11055.2021, this circumstance may have a mitigating effect on the amount of the administrative fine imposed in this administrative proceeding or may result in the waiver of its imposition.

In response to the information about the initiation of the proceedings by the President of the UODO regarding the imposition of an administrative fine, the Company – by letter dated October 20, 2023 – submitted extensive explanations in the case under reference DKN.5130.11055.2021, which the President of the UODO had requested in letters dated April 22, 2022, and July 12, 2023.

In the aforementioned letter, the President of the Company – Ms. K.N. – also provided an explanation regarding the lack of response to previous requests from the President of the UODO. It follows from this that the second request was received by 16-year-old (and thus minor) S. N. and was not forwarded to K.N.

After reviewing all the evidence collected in the case, the President of the Office for Personal Data Protection considered the following.

Legal Provisions

According to Article 57 § 1 letter a) of Regulation 2016/679, the President of the UODO, as the supervisory authority within the meaning of Article 51 of Regulation 2016/679, monitors and enforces the application of this regulation within its territory. As part of its competences, the President of the UODO conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57 § 1 letter h) of Regulation 2016/679).

To enable the realization of the tasks defined in this way, the President of the UODO is entitled to a number of powers specified in Article 58 § 1 of Regulation 2016/679 in relation to the conducted proceedings, including the power to order the controller and the processor to provide any information necessary to fulfill its tasks (Article 58 § 1 letter a) of Regulation 2016/679) and the power to obtain from the controller and the processor access to all personal data and any information necessary to fulfill its tasks (Article 58 § 1 letter e) of Regulation 2016/679).

A violation of the provisions of Regulation 2016/679, resulting in a violation of the powers of the authority specified in Article 58 § 1, is subject – in accordance with Article 83 § 5 letter e) of Regulation 2016/679 – to an administrative fine of up to EUR 20,000,000, or in the case of an enterprise – up to 4% of its total annual global turnover from the previous financial year, with the higher amount applying.

The President of the UODO is also entitled to a number of remedial powers specified in Article 58 § 2 of Regulation 2016/679, including the right to issue a reprimand to the controller in the event of a violation of the provisions of Regulation 2016/679 by processing operations. According to Recital 148 of Regulation 2016/679, to make the enforcement of the provisions of Regulation 2016/679 more effective, sanctions, including administrative fines, should be imposed for violations, in addition to or instead of appropriate measures imposed under Regulation 2016/679 by the supervisory authority. If the violation is minor, the monetary penalty may be replaced by a reprimand. However, attention

should be paid to the nature, gravity, and duration of the violation, whether the violation was not intentional, the actions taken by the controller to minimize the damage, the degree of responsibility or any relevant previous violations, the manner in which the supervisory authority became aware of the violation, compliance with measures imposed on the controller or processor, adherence to codes of conduct, and any other aggravating or mitigating factors.

Pursuant to Article 60 of the u.o.d.o., proceedings regarding violations of personal data protection regulations are conducted by the President of the UODO. In turn, Article 7 § 1 of the u.o.d.o. states that in matters not regulated by this Act, the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, as amended) apply to administrative proceedings before the President of the UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the u.o.d.o.). According to Article 7 § 2 of the u.o.d.o., these proceedings are single-instance proceedings.

Legal Assessment

Relating the above-mentioned legal basis to the established factual state in this case, it should be recognized that the Company – being the controller of personal data reporting a personal data breach and at the same time a party to the proceedings under reference DKN.5130.11055.2021 – by failing to respond to the President of the UODO's requests for explanations – violated the obligation to ensure the President of the UODO access to information necessary to fulfill its tasks, which obligations arise directly from Article 58 § 1 letters a) and e) of Regulation 2016/679.

The President of the UODO twice requested the Company to provide explanations in the case under reference DKN.5130.11055.2021 by letters dated April 22, 2022, and July 12, 2023, addressed to the current registered office address of the Company. And although the President of the UODO believed the explanations provided by the President of the Company that the second request was received by a minor, and thus unauthorized to receive correspondence addressed to the Company, it should be emphasized that the first summons was received by an authorized person – the President of the Management Board of the Company, which justifies the belief that the Company had an objective opportunity to familiarize itself with the content of the summons directed to it and to respond within the time frame set by the data protection authority. The Company's lack of response to the correspondence in question, undisputed in light of the evidence gathered in this case, resulted in the necessity to initiate administrative proceedings regarding the imposition of an administrative monetary penalty on the Company, as a result of which the Company only then began to cooperate with the President of the UODO and submitted comprehensive explanations in the case with reference number DKN.5130.11055.2021.

In this case, it is also undeniable that it was the Company's duty to ensure an organization of correspondence circulation that would allow for timely fulfillment of the obligations imposed by the provisions of Regulation 2016/679. The Company, as an entity professionally conducting business activities, should have designated – in its internal organizational regulations, or by appropriately defining the scope of duties of its employees – a person authorized to receive incoming correspondence to the Company. In such a situation, "the delivery [of correspondence] occurs on the date confirmed by that person as having received the document. The determination of this does not depend on whether that person subsequently forwarded the document to the individuals designated to perform the actions to which the document pertained. This is already a matter of the internal organization of the work of the organizational unit that is the addressee of the document. It is the duty of each unit to organize the receipt of documents in such a way that this action is performed by an authorized person, and it is this unit that bears responsibility for properly organizing the acceptance of documents and the circulation of correspondence, which should take place continuously and without interruption" (see Judgment of the Provincial Administrative Court in Warsaw of December 9, 2020, case file VI SA/Wa 1697/20, LEX no. 3162004).

The violation established in this proceeding, consisting of failing to provide the President of the UODO with access to information necessary for the performance of his tasks, was rectified by the Company

immediately after becoming aware of the ongoing proceedings regarding the imposition of an administrative monetary penalty, i.e., upon the submission of the Company's explanations to the UODO on October 20, 2023. The Company demonstrated an active attitude and was ready for further cooperation, both in this proceeding and in other matters initiated before the President of the UODO, in which the Company is a party. This leads to the conclusion that the Company's lack of response to the summonses from the President of the UODO in the proceeding with reference number DKN.5130.11055.2021 was not intentional.

In light of the above, the President of the UODO deemed it justified to issue a reprimand to the Company regarding the established violation of Article 58(1)(a) and (e) of Regulation 2016/679, while also accepting that, in light of the criteria specified in Article 83(2) of Regulation 2016/679, it would be effective and sufficient. However, it should be noted that in the event of a similar occurrence in the future, any reprimand issued by the President of the UODO against the Company will be taken into account when assessing the conditions justifying the imposition of an administrative penalty, in accordance with the principles set forth in Article 83(2) of Regulation 2016/679.

In this factual and legal state, the President of the UODO decided as stated in the operative part of this decision.

Instruction

The decision is final. The Party has the right to file a complaint against the decision to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the UODO (address: ul. Stawki 2, 00 – 193 Warsaw). The fee for the complaint is 200 PLN. In the proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the course of the proceedings. The application is free of court fees.

Print article

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